There are several other times when it's fine to be reasonable instead of rational with money.

There's a well-documented "home bias," where people prefer to invest in companies from the country they live in while ignoring the other 95%+ of the planet. It's not rational, until you consider that investing is effectively giving money to strangers. If familiarity helps you take the leap of faith required to remain backing those strangers, it's reasonable.

Day trading and picking individual stocks is not rational for most investors—the odds are heavily against your success. But they're both reasonable in small amounts if they scratch an itch hard enough to leave the rest of your more diversified investments alone. Investor Josh Brown, who advocates and mostly owns diversified funds, once explained why he also owns a smattering of individual stocks: "I'm not buying individual stocks because I think I'm going to generate alpha [outperformance]. I just love stocks and have ever since I was 20 years old. And it's my money, I get to do whatever." Quite reasonable.

Most forecasts about where the economy and the stock market are heading next are terrible, but making forecasts is reasonable. It's hard to wake up in the morning telling yourself you have no clue what the future holds, even if it's true. Acting on investment forecasts is dangerous. But I get why people try to predict what will happen next year. It's human nature. It's reasonable.

Jack Bogle, the late founder of Vanguard, spent his career on a crusade to promote low-cost passive index investing. Many thought it interesting that his son found a career as an active, high-fee hedge fund and mutual fund manager. Bogle—the man who said high-fee funds violate "the humble rules of arithmetic"—invested some of his own money in his son's funds. What's the explanation?

"We do some things for family reasons," Bogle told *The Wall Street Journal*. "If it's not consistent, well, life isn't always consistent."[39]

Indeed, it rarely is.